
Principle 12 — Enhance Quality

These standards address the internal audit function's internal quality assessments, performance measurement, and supervision of individual engagements. Together, they support conformance with the Standards and continuous improvement.

Standard	Title	Main focus
12.1	Internal Quality Assessment	Ongoing monitoring and periodic assessments
12.2	Performance Measurement	Evaluating achievement of internal audit objectives
12.3	Oversee and Improve Engagement Performance	Supervision, engagement quality, and auditor development

Standard 12.1 — Internal Quality Assessment

1. Standards & Guidance

Requirements

The chief audit executive (CAE) must develop and conduct internal assessments of:

- The internal audit function's conformance with the Global Internal Audit Standards.
- Its progress toward performance objectives.

The CAE must establish an internal assessment methodology that includes:

1. Ongoing monitoring of conformance and progress toward performance objectives.
2. Periodic self-assessments, or assessments by other people within the organization who have sufficient knowledge of internal audit practices.
3. Communication of internal assessment results to the board and senior management.

Based on periodic self-assessment results, the CAE must develop action plans addressing nonconformance and improvement opportunities, including proposed implementation timelines.

The results and action plans must be communicated to the board and senior management.

Internal assessments must be documented and included in the evaluation performed by the independent third party conducting the external quality assessment.

If nonconformance affects the overall scope or operation of the internal audit function, the CAE must disclose both the nonconformance and its impact to the board and senior management.

Considerations for Implementation

A. Ongoing monitoring

Ongoing monitoring is embedded in daily supervision, review, and management of the internal audit function.

Activities may include:

- Reviewing engagement planning, workpapers, and final communications.
- Checking application of internal audit methodologies.
- Using templates, checklists, or automated workpapers to support consistent practice.
- Obtaining stakeholder feedback on engagement effectiveness and efficiency.
- Monitoring completion of the audit plan, engagement timeliness, resource allocation, and budget variances.
- Identifying recurring weaknesses and taking improvement actions.

Supervision should begin during planning and continue throughout the engagement.

B. Periodic self-assessments

Periodic assessments provide a broader review of the internal audit function and address conformance with every standard.

Assessors may include experienced internal auditors, a dedicated quality team, or other organizational personnel with appropriate audit knowledge.

The assessment should consider:

- Adequacy and application of internal audit methodologies.
- Contribution to organizational objectives.
- Quality of services and supervision.
- Achievement of performance objectives.
- Fulfillment of stakeholder expectations.

Involving internal auditors can also develop their understanding of the Standards.

The supplied Standard 12.1 requires periodic self-assessments but does not prescribe a fixed annual frequency for conducting them. The methodology should define appropriate arrangements. Reporting requirements should also be read alongside Standard 8.3.

Examples of Evidence of Conformance

- Completed workpaper review checklists.
- Stakeholder survey results and performance measures.
- Periodic assessment plans, workpapers, and reports.

- Board and management presentations and meeting minutes.
- Documented monitoring results and corrective action plans.
- Evidence of improvements to efficiency, effectiveness, and conformance.

2. Audit Focus Areas

- Coverage of ongoing monitoring and periodic assessments.
- Assessment of all applicable Standards.
- Competence of internal assessors.
- Evidence supporting assessment conclusions.
- Identification and disclosure of significant nonconformance.
- Communication to the board and senior management.
- Action plans, implementation timelines, and follow-up.
- Availability of assessment records for external quality assessment.

3. Risks

Risk	Potential consequence
Quality assessment relies only on routine engagement reviews	Function-level governance and management weaknesses remain unidentified
Periodic assessment omits standards	Conformance conclusions are incomplete
Assessors lack sufficient knowledge	Nonconformance is overlooked or incorrectly evaluated
Assessment conclusions lack evidence	Governance stakeholders receive unreliable quality information
Improvement actions are not implemented	Identified weaknesses recur
Significant nonconformance is not disclosed	The board cannot assess its effect on internal audit services
Assessment documentation is incomplete	External assessors cannot evaluate the internal assessment process adequately

4. Controls

Control	Type
Maintain a documented internal assessment methodology covering monitoring, periodic review, reporting, and follow-up	Preventive
Map assessment procedures to the Standards	Preventive / Detective
Evaluate assessor knowledge and experience before assignment	Preventive
Link assessment conclusions to supporting evidence	Detective
Record nonconformance, its impact, and required escalation	Detective / Corrective

Control	Type
Maintain improvement actions with owners and proposed completion dates	Corrective
Verify completed actions before closing them	Detective
Retain assessment records in an organized repository	Preventive

5. Audit Procedures and Required Evidence — Suggested

Procedure	Required evidence
Assess whether the methodology covers both ongoing monitoring and periodic assessment	Quality methodology, assessment schedule
Compare periodic assessment coverage with the Standards	Coverage matrix, completed assessment tools
Evaluate the qualifications of assigned assessors	Experience records, training records, assignment rationale
Trace sampled assessment conclusions to evidence	Assessment workpapers, engagement files, interview records
Verify communication of results and action plans	Reports, board papers, management minutes
Review whether significant nonconformance and its impact were disclosed	Impact assessment, disclosure records
Test the implementation and closure of improvement actions	Action tracker, revised procedures, completion evidence
Confirm records are available for the external assessment	Assessment repository, external assessor information requests

6. Red Flags

- The quality program consists only of a report review checklist.
- Every standard is marked conforming without supporting evidence.
- Assessments are repeatedly postponed without explanation.
- The assessor cannot explain the basis of a conformance conclusion.
- Repeated deficiencies have no action plan or completion timeline.
- Actions are closed solely on verbal confirmation.
- The board receives positive summaries while material weaknesses are omitted.

7. Common Findings — Illustrative Examples

- The internal assessment methodology did not distinguish ongoing monitoring from periodic assessment.
- Periodic assessment coverage did not address all Standards.
- Selected conformance conclusions were unsupported by retained evidence.

- Self-assessment results and action plans were not communicated to the board and senior management.
- Significant nonconformance affecting the function's operation was not disclosed with its impact.
- Improvement actions remained overdue without documented follow-up.

8. Professional References

- Standard 12.1 — Internal Quality Assessment.
- Standard 8.1 — Board Interaction.
- Standard 8.3 — Quality.
- Standard 8.4 — External Quality Assessment.
- Standard 9.3 — Methodologies.
- Standard 12.3 — Oversee and Improve Engagement Performance.

Standard 12.2 — Performance Measurement

1. Standards & Guidance

Requirements

The CAE must develop objectives for evaluating the internal audit function's performance, considering the input and expectations of the board and senior management.

The CAE must establish a performance measurement methodology that:

- Assesses progress toward the function's objectives.
- Promotes continuous improvement.

When assessing performance, the CAE must solicit feedback from the board and senior management as appropriate.

The CAE must develop an action plan addressing identified issues and improvement opportunities.

Considerations for Implementation

Performance objectives should reflect the desired outcomes of:

- The Principles of the Global Internal Audit Standards.
- The internal audit charter.
- The internal audit strategy.

The CAE may report a focused selection of objectives to the board and senior management while maintaining a broader set for managing the function.

Measures should be balanced across relevant areas, including stakeholder expectations, assurance coverage, human resources, efficiency, and learning and development.

Both quantitative and qualitative targets can be used. Reported measures should be periodically checked for accuracy.

Improvement actions should be tracked and communicated to the board and senior management.

Performance Categories Identified in the Supplied Guidance

Category	Possible measure
Mandate coverage	Coverage of engagement objectives expected under the mandate
Organizational relevance	Extent to which broader audit conclusions address significant organizational objectives
Risk coverage	Percentage of key risks and controls reviewed
Delivery	Percentage of the adjusted and approved audit plan completed on time
Stakeholder experience	Feedback on engagement understanding, timeliness, and clarity
Service balance	Balance of assurance and advisory services relative to strategy
Quality	Results of internal or external quality assessments
Competencies	Availability of skills needed for scheduled engagements
Development	Learning plans aligned with strategy and emerging risks
Professional qualifications	Staff holding relevant recognized certifications
Management action outcomes	Completed management actions producing the intended results

Management action completion is not solely a measure of internal audit performance. Management remains responsible for implementing its actions and achieving the intended outcomes.

Examples of Evidence of Conformance

- Performance objectives aligned with the Standards, charter, and strategy.
- Measures and targets linked to those objectives.
- Action plans addressing performance issues and improvement opportunities.

2. Audit Focus Areas

- Alignment between performance objectives and the internal audit mandate.

- Consideration of board and senior management expectations.
- Balance between delivery, quality, coverage, efficiency, and development.
- Clear definitions and reliable data.
- Use of quantitative and qualitative measures.
- Appropriate interpretation of management-dependent outcomes.
- Corrective action when performance falls short.

3. Risks

Risk	Potential consequence
Measures focus only on the number of completed audits	Delivery volume is prioritized over quality and risk coverage
Objectives are disconnected from the charter or strategy	Reported success does not demonstrate fulfillment of the mandate
Data definitions are inconsistent	Performance comparisons become misleading
Reported results are not validated	The board receives inaccurate information
Targets encourage superficial completion	Work is closed before sufficient evidence is obtained
Management action delays are attributed entirely to internal audit	Accountability and performance evaluation become distorted
Performance gaps do not lead to action	Measurement becomes reporting without improvement

4. Controls — Suggested

Control	Type
Map each performance objective to the charter, strategy, or relevant desired outcome	Preventive
Document each measure's definition, calculation, source, owner, and target	Preventive
Use a balanced set of quantitative and qualitative measures	Preventive
Validate reported results against source records	Detective
Obtain and document relevant governance stakeholder feedback	Detective
Analyze significant deviations and establish improvement actions	Corrective
Review whether measures create unintended incentives	Detective / Preventive
Track and assess the effectiveness of improvement actions	Detective / Corrective

5. Audit Procedures and Required Evidence — Suggested

Procedure	Required evidence
Trace performance objectives to the charter and internal audit strategy	Charter, strategy, objective mapping
Verify consideration of board and senior management input	Meeting records, correspondence, feedback
Assess whether measures cover quality and outcomes as well as activity levels	Performance framework, dashboard
Recalculate selected reported measures	Source data, calculation rules, published results
Verify audit plan completion measures use the adjusted and approved plan consistently	Approved plan versions, completion records
Review interpretation of recommendation implementation metrics	Action tracking records, explanatory reporting
Examine responses to missed targets and negative feedback	Analysis, improvement plans, follow-up records
Assess whether implemented improvements achieved their intended effect	Subsequent results, evaluation records

6. Red Flags

- The dashboard reports only completed audits and hours charged.
- Measures have no documented calculation method.
- Results cannot be reconciled to engagement records.
- Targets or denominators change without explanation.
- Stakeholder feedback is collected but not analyzed.
- High completion rates coexist with recurring quality deficiencies.
- Repeated missed targets produce no improvement action.
- Management action completion is presented as entirely within internal audit's control.

7. Common Findings — Illustrative Examples

- Performance objectives were not clearly linked to the internal audit strategy.
- The measurement framework excluded quality or significant risk coverage.
- Selected reported results were inaccurate or unsupported.
- Board and senior management feedback was not sought as appropriate.
- Recurring performance gaps were not addressed through action plans.
- Management-dependent results were reported without explaining the division of responsibility.

8. Professional References

- Standard 12.2 — Performance Measurement.
 - Standard 11.3 — Communicating Results.
 - Standard 15.2 — Confirming the Implementation of Recommendations or Action Plans.
 - The internal audit charter and internal audit strategy, as organization-specific reference documents.
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Standard 12.3 — Oversee and Improve Engagement Performance

1. Standards & Guidance

Requirements

The CAE must establish and implement methodologies for:

- Engagement supervision.
- Quality assurance.
- Development of internal auditor competencies.

The CAE or engagement supervisor must:

- Provide guidance throughout the engagement.
- Verify that work programs are complete.
- Confirm that workpapers adequately support findings, conclusions, and recommendations.

The CAE must verify whether engagements conform with the Standards and the internal audit function's methodologies.

To develop competencies, the CAE must provide auditors with performance feedback and opportunities for improvement.

The required extent of supervision depends on:

- The maturity of the internal audit function.
- Auditors' proficiency and experience.
- Engagement complexity.

The CAE is responsible for supervision whether engagement work is performed by internal staff or other service providers.

Supervision may be delegated to appropriate qualified individuals, but ultimate responsibility remains with the CAE.

Evidence of supervision must be documented and retained according to the function's methodologies.

Considerations for Implementation

A. Supervision during planning and execution

- Review engagement objectives and whether the work program can achieve them efficiently.
- Assign supervisory responsibilities to appropriately qualified personnel.
- Monitor completion of the program and the handling of changes.
- Maintain ongoing communication with auditors and relevant management.
- Evaluate whether procedures, information, testing, and evidence support the engagement objectives and conclusions.

B. Review of workpapers and communications

Supervisors should assess whether workpapers support communications that are accurate, objective, clear, concise, constructive, complete, and timely.

They may request further evidence, clarification, or additional analysis.

Review comments should be resolved through adequate evidence or appropriate changes to the workpapers.

The supplied guidance allows resolved review notes to be cleared from final documentation or maintained separately with their resolution records. **Evidence that supervision occurred must still be retained under the established methodology.**

C. Competency development

Engagement discussions, coaching, and post-engagement meetings provide opportunities to:

- Explain professional judgments.
- Improve analysis and documentation.
- Identify development needs.
- Evaluate readiness for more complex work or supervisory responsibilities.

D. Differences in professional judgment

The CAE should establish a process to resolve differing judgments. This can include reviewing facts, further inquiry or research, and documenting differing views and conclusions.

Ethical disagreements may be referred to the appropriate people responsible for ethical matters within the organization.

Examples of Evidence of Conformance

- Workpapers containing evidence of supervision.
- Completed workpaper review checklists.
- Interviews and surveys about the engagement experience.
- Communications between supervisors and assigned auditors.

2. Audit Focus Areas

- Appropriate supervisory assignments.
- Supervision throughout the engagement.
- Adequacy of evidence supporting conclusions.
- Completion of work programs and control of changes.
- Resolution of review concerns.
- Supervision of externally delivered engagement work.
- Performance feedback and competency development.
- Retention of supervision evidence.

3. Risks

Risk	Potential consequence
Supervision occurs only at the end	Planning or testing weaknesses are identified too late
Supervisors lack relevant proficiency	Technical or judgment errors remain undetected
Sign-off is treated as sufficient without substantive review	Unsupported findings and conclusions are issued
Review comments are closed without resolution	Known evidence gaps remain in the file
External providers are excluded from supervision arrangements	Outsourced work receives inconsistent quality oversight
Significant judgment differences are not addressed	Conclusions are inconsistent or insufficiently supported
Feedback is not provided	Recurring individual and team weaknesses persist
Review evidence is not retained	The function cannot demonstrate effective supervision

4. Controls — Suggested

Control	Type
Assign supervisors based on engagement complexity and demonstrated competencies	Preventive
Establish review points throughout planning, execution, and reporting	Preventive / Detective
Require traceability from conclusions to procedures and evidence	Detective
Track review concerns until adequately resolved	Detective / Corrective
Define oversight arrangements for external providers	Preventive
Document resolution of significant professional judgment differences	Detective / Corrective
Provide engagement feedback linked to development needs	Corrective / Preventive
Retain review records, approvals, and supporting evidence according to methodology	Preventive

5. Audit Procedures and Required Evidence

Procedure	Required evidence
Assess whether supervision methodology covers quality and competency development	Methodology, review guidance, development process
Evaluate supervisor suitability for selected engagements	Experience records, skills assessments, assignments
Determine whether supervision occurred throughout the engagement	Review dates, meeting records, correspondence
Trace significant findings and conclusions to reviewed evidence	Workpapers, testing records, final communication
Verify completion of work programs and handling of changes	Program versions, approvals, completion records
Sample review concerns and assess whether responses resolve them	Review notes, additional evidence, revised workpapers
Assess oversight of external service providers	Contracts, review records, CAE communications
Review handling of significant judgment differences	Discussion records, research, documented conclusions
Verify provision of performance feedback and development opportunities	Feedback records, coaching notes, development plans

6. Red Flags

- All reviews are dated immediately before or after report release.
- Workpapers contain reviewer initials but unresolved evidence gaps.
- Conclusions do not match the documented testing results.
- Review comments are deleted without the concerns being addressed.
- Junior auditors receive complex assignments without adequate guidance.
- External provider reports are accepted without documented oversight.
- Significant differences of opinion disappear from the record without explanation.
- The same documentation weaknesses recur without coaching or development action.

7. Common Findings — Illustrative Examples

- Supervisory review was concentrated at reporting stage and did not adequately cover planning or execution.
- Workpapers did not sufficiently support selected findings and conclusions despite sign-off.
- Review concerns were marked resolved without adequate supporting changes.
- The engagement file did not retain evidence of supervision.
- Oversight arrangements did not cover work performed by external service providers.
- Auditors did not receive documented performance feedback or relevant improvement opportunities.
- Significant professional judgment differences were not resolved through the established process.

8. Professional References

- Standard 12.3 — Oversee and Improve Engagement Performance.
 - Standard 11.2 — Effective Communication.
 - Principle 13 — Plan Engagements Effectively.
 - Standard 13.6 — Work Program.
 - Standard 14.6 — Engagement Documentation.
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